

Elon Musk, born in Pretoria, South Africa, is one of the most successful entrepreneurs of all time. Musk has achieved global fame as the chief executive officer (CEO) of electric automobile maker Tesla (TSLA) and the private space company SpaceX. Musk was an early investor in several tech companies, and in October 2022, he completed a deal to take X (formerly Twitter) private.¹

His success and personal style have given rise to comparisons to other colorful tycoons from U.S. history, including Steve Jobs, Howard Hughes, and Henry Ford. He was named the richest person in the world in 2021, surpassing Amazon (AMZN) founder Jeff Bezos.² However, as of June 22, 2024, Bezos has regained the title of richest man on Earth, making Musk the second richest man.³

Let's look briefly at the life of the man who has scaled the pinnacle of the business world.

Key Takeaways

Elon Musk is the charismatic CEO of electric car maker Tesla and rocket manufacturer SpaceX.

Following a contested process, Musk completed a deal to buy the company behind X in October 2022, becoming the owner of the social media company.

Born and raised in South Africa, Musk spent time in Canada before moving to the United States.

Educated at the University of Pennsylvania in physics and business, Musk started getting his feet wet as a serial tech entrepreneur with early successes like Zip2 and X.com, which merged with a company that became PayPal.

Musk has behaved eccentrically from time to time.

Image

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Early Life and Education

Elon Reeve Musk was born in 1971 in Pretoria, South Africa, the oldest of three children. His father was a South African engineer, and his mother was a Canadian model and nutritionist. After his parents divorced in 1980, Musk lived primarily with his father. He would later dub his father "a terrible human being...almost every evil thing you could possibly think of, he has done."⁴¹⁵

"I had a terrible upbringing. I had a lot of adversity growing up. One thing I worry about with my kids is they don't face enough adversity," Musk would later say.⁶

Bullied as a Child

Musk attended the private, English-speaking Waterkloof House Preparatory School—he started a year early—and later graduated from Pretoria Boys High School. A self-described bookworm, he made few friends in those places.⁷

"They got my best (expletive) friend to lure me out of hiding so they could beat me up. And that (expletive) hurt," Musk said. "For some reason, they decided that I was it, and they were going to go after me nonstop. That's what made growing up difficult. For a number of years,

there was no respite. You get chased around by gangs at school who tried to beat the (expletive) out of me, and then I'd come home, and it would just be awful there as well.”⁸

Early Accomplishments

Technology became an escape for Musk. At 10, he became acquainted with programming using a Commodore VIC-20, an early and relatively inexpensive home computer. Before long, Musk had become proficient enough to create Blastar—a video game in the style of Space Invaders. He sold the BASIC code for the game to a PC magazine for \$500.⁹¹⁰

In one telling incident from his childhood, Musk and his brother planned to open a video game arcade near their school. Their parents nixed the plan.¹¹

Musk's College Years

At 17, Musk moved to Canada. He would later obtain Canadian citizenship through his mother.¹²

After emigrating to Canada, Musk enrolled at Queen's University in Kingston, Ontario. It was there that he met Justine Wilson, an aspiring writer. They would marry and have six sons together, a first son which died shortly after birth, twins, and then triplets, before divorcing in 2008.¹³

Entering the U.S.

After two years at Queen's University, Musk transferred to the University of Pennsylvania. He took on two majors, but his time there wasn't all work and no play. With a fellow student, he bought a 10-bedroom fraternity house, which they used as an ad hoc nightclub.¹⁴

Musk graduated with a bachelor's degree in physics and a second bachelor's degree in economics from the Wharton School. The two majors foreshadowed Musk's career, but it was physics that left the deepest impression.¹⁵

“(Physics is) a good framework for thinking,” he would say later. “Boil things down to their fundamental truths and reason up from there.”¹⁶

Notable Accomplishments

Musk was 24 years old when he moved to California to pursue a Ph.D. in applied physics at Stanford University. But, with the Internet exploding and Silicon Valley booming, Musk had entrepreneurial visions dancing in his head. He left the Ph.D. program after just two days.¹²

X.com

In 1995, with \$15,000 and his younger brother Kimbal at his side, Musk started Zip2, a web software company that would help newspapers develop online city guides.¹⁷¹⁸

In 1999, Zip2 was acquired by Compaq Computer Corporation for \$307 million in cash and \$34 million worth of stock options. Musk used his Zip2 buyout money to create X.com, a fintech venture before that term was in wide circulation.¹²

X.com merged with a money transfer firm called Confinity, and the resulting company came to be known as PayPal. Peter Thiel ousted Musk as PayPal CEO before eBay (EBAY)

bought the payments company for \$1.5 billion, but Musk still profited from the buyout via his 11.7% PayPal stake.¹⁹²⁰²¹

“My proceeds from PayPal after tax were about \$180 million,” Musk said in a 2018 interview. “\$100 (million) of that went into SpaceX, \$70 (million) into Tesla, and \$10 (million) into SolarCity. And I literally had to borrow money for rent.”²²

In 2017, Musk purchased the X.com domain name back from PayPal, citing its sentimental value.²³

Tesla

Musk became involved with the electric cars venture as an early investor in 2004, ultimately contributing about \$6.3 million, to begin with, and joined the team, including engineer Martin Eberhard, to help run a company then known as Tesla Motors. Following a series of disagreements, Eberhard was ousted in 2007, and an interim CEO was hired until Musk assumed control as CEO and product architect. Under his watch, Tesla has become the world’s most valuable automaker.²⁴

In addition to producing electric vehicles, Tesla maintains a robust presence in the solar energy space, thanks to its acquisition of SolarCity. The company currently produces rechargeable solar batteries and other solar power equipment. The Powerwall is a battery developed for home backup power. Tesla also produces commercial energy infrastructure including grid management programs.

SpaceX

Musk used most of the proceeds from his PayPal stake to found Space Exploration Technologies Corp., the rocket’s developer commonly known as SpaceX. By his own account, Musk spent \$100 million to found SpaceX in 2002.²²

Under Musk’s leadership, SpaceX landed several high-profile contracts with the U.S. National Aeronautics and Space Administration (NASA) and the U.S. Air Force to design space launch rockets. Musk has publicized plans to send an astronaut to Mars by 2025 in a collaborative effort with NASA.²⁵²⁶

X

The company was founded in March 2006 as Twitter by Jack Dorsey, Noah Glass, Biz Stone, and Evan Williams. Originally a private company, it went public in November 2013. It raised \$1.8 billion through its initial public offering (IPO).²⁷

Musk joined the site in June 2009.²⁸ A frequent poster on the messaging network, Musk disclosed a 9.2% stake in Twitter in March 2022.²⁹ The company responded by offering Musk a seat on the board, which he accepted before declining days later.³⁰³¹ Musk then sent a bear hug letter to the board proposing to buy the company at \$54.20 per share.³²

The company’s board adopted a poison pill provision to discourage Musk from accumulating an even larger stake, but they ultimately accepted Musk’s offer after he disclosed \$46.5 billion in committed financing for the deal in a securities filing.³³³⁴³⁵³⁶

In July 2022, Musk attempted to cancel the deal, arguing that X had failed to provide certain information regarding fake accounts. The company sued Musk to require him to complete the deal.³⁷

After months of legal wrangling, the billionaire's plan to buy the social media platform came to fruition, and Musk took control of the company on October 28, 2022.³⁸ The company was renamed X the following year.³⁹

During his May 8, 2021, appearance on the TV show Saturday Night Live, Musk revealed that he has Asperger's syndrome, an autism spectrum disorder. "I'm actually making history tonight as the first person with Asperger's to host SNL. Or at least the first to admit it," he said. How does the neurodevelopment condition manifest itself? "I don't always have a lot of intonation or variation in how I speak, which I'm told makes for great comedy," Musk explained.⁴⁰⁴¹

Personal Eccentricities

On September 7, 2018, Musk smoked cannabis during a filmed interview for The Joe Rogan Experience podcast.⁴²

Just a month earlier, Musk posted an infamous tweet claiming he was considering taking Tesla private and had secured the needed funding. Musk subsequently settled a Securities and Exchange Commission (SEC) complaint alleging he knowingly misled investors with the tweet by paying a \$20 million fine along with the same penalty for Tesla and agreeing to let Tesla's lawyers approve tweets with material corporate information before posting.⁴³⁴⁴

In March 2022, Musk filed a court motion to overturn the consent decree stemming from that case.⁴⁵ In April 2022 during a live TED Talk, Musk called the SEC regulators on the case "bastards."⁴⁶

Is Elon Musk Married?

Elon Musk has been divorced three times—twice from his second wife, Talulah Riley. From 2018 to 2022, he was in a relationship with Canadian singer/songwriter Claire Elise Boucher, professionally known as Grimes, with whom he had a son in 2020, a daughter in 2022, and a third child revealed in 2023. They remain best friends. He also has six boys (five living, one died after birth) from his first marriage to Justine Musk. He also shares twins with Shivon Zilis. Musk has a total of 11 children.⁴⁷⁴⁸⁴⁹⁵⁰⁵¹

How Rich Is Elon Musk?

Elon Musk's net worth was estimated at \$207 billion as of June 24, 2024, making him the second wealthiest person on the planet.³

Was Elon Musk Born Rich?

No, Elon Musk was born into a middle-class family. In 1995, when he founded Zip2, he reportedly had more than \$100,000 in student debt and struggled to pay rent.⁵¹

What Does Elon Musk Do at Tesla?

Elon Musk is officially listed as the co-founder and chief executive officer of Tesla on the company's website. In a 2021 securities filing, the company disclosed an additional Musk title as "Technoking of Tesla."⁵²⁵³

What Companies Does Elon Musk Own?

Elon Musk is a large stakeholder in several companies, including Tesla, SpaceX, The Boring Co., Neuralink, and X Corp.

The Bottom Line

Musk's early interests in philosophy, science fiction, and fantasy novels are reflected in his idealism and concern with human progress—and in his business career. He works in fields he has identified as crucial to humanity's future, notably the transition to renewable energy sources, space exploration, and the Internet.

Musk has defied critics, disrupted industries, and made the most money anyone ever has from PayPal, Tesla Motors, SolarCity, and SpaceX—game changers all, despite the inevitable missteps.